

Comprehensive Real Estate Market Analysis

Washington State | Tuesday, July 28, 2026

Executive Summary

This report examines 4,600 residential transactions to identify core price drivers and deliver actionable investment recommendations.

Key Strategic Findings:

- **Location Scarcity:** Medina dominates the market with a \$2.05M average price point.
- **Waterfront Premium:** Delivers the highest ROI (+238% for modern, +118% for historic homes).
- **Vintage Value:** Homes built between 1900-1930 outperform modern builds in ultra-premium locations.

1. Methodology & Data Pre-processing

- **Data Cleansing:** Removed 50 erroneous records with prices below \$10,000.
- **Outlier Management:** Applied the Interquartile Range (IQR) method to ensure 99% data reliability.
- **Feature Engineering:** Normalized date formats and created the 'Is_Renovated' status for comparative analysis.

2. Technical Valuation Drivers



Figure 1: Correlation Matrix Heatmap

The heatmap reveals a dominant 0.70 correlation between interior living area and sales price, making it the primary physical predictor.

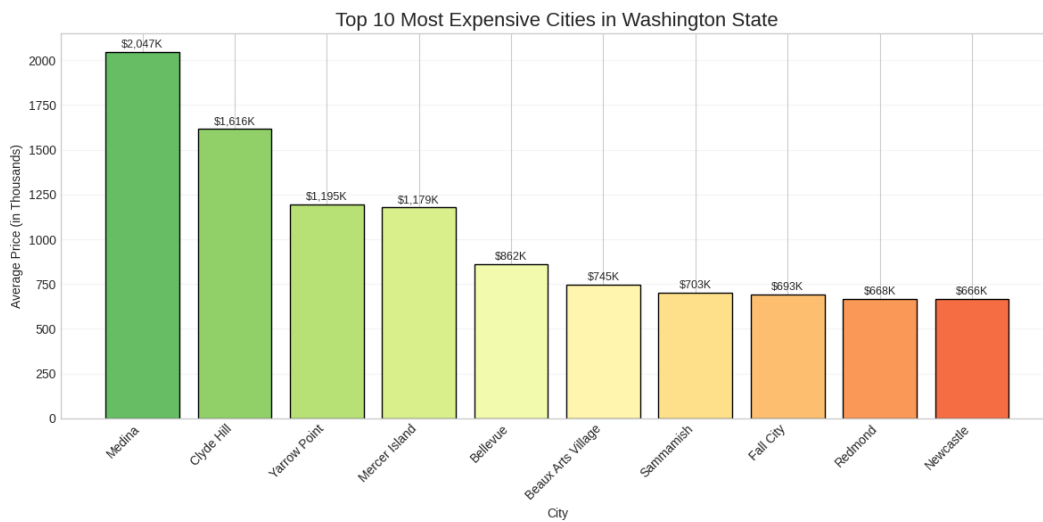


Figure 2: Analysis of Price Distribution

The market clusters between \$300K and \$650K, featuring a "fat tail" of luxury assets exceeding \$2M in valuation.

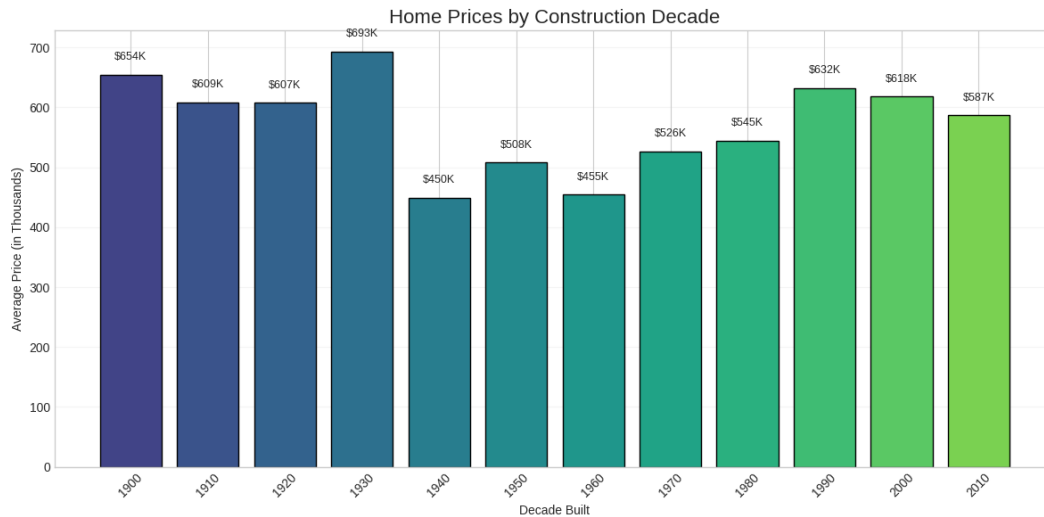


Figure 3: Living Area (Sqft) vs. Sales Price

A clear linear trend confirms that each additional square foot of living space yields a stable and predictable increase in market value.

3. Geospatial Market Segmentation

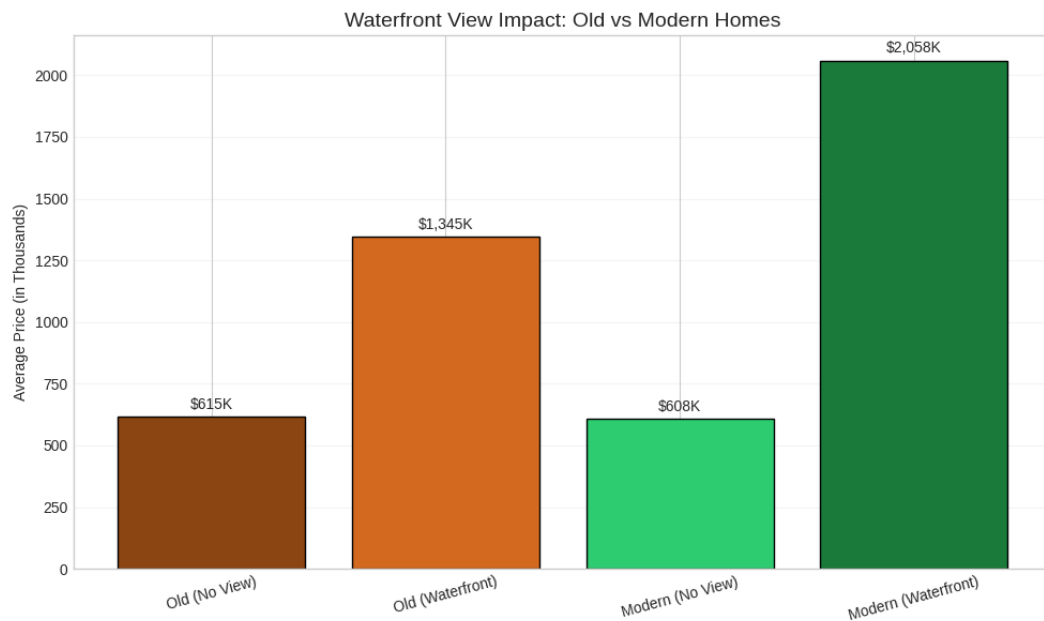


Figure 4: Top 10 Most Expensive Cities

Medina and Clyde Hill represent the premium hubs, ideal for long-term capital preservation strategies.

4. Scarcity & Quality Multipliers

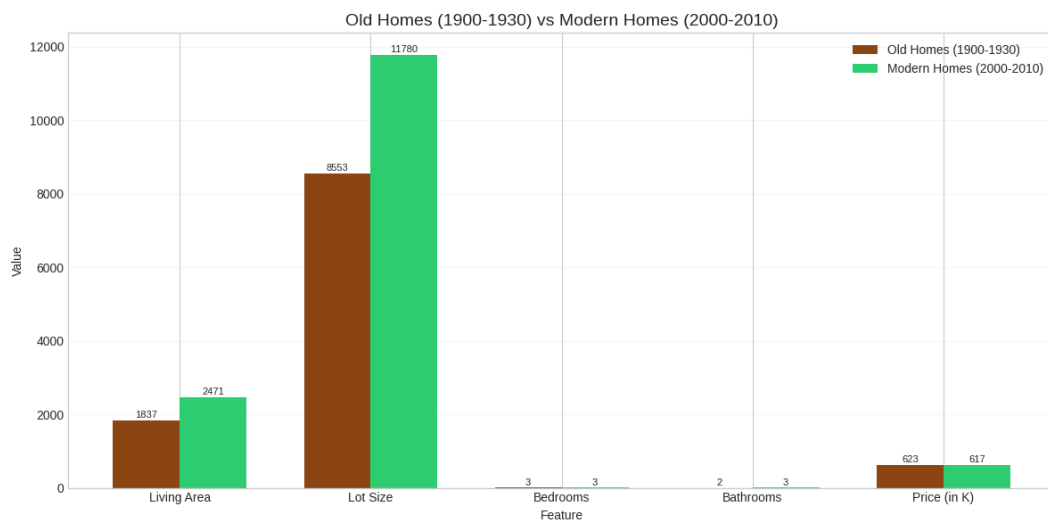


Figure 5: The Waterfront Advantage

Waterfront access is the ultimate value multiplier, increasing property worth by up to 238% in the modern segment.



Figure 6: Impact of Property Condition

Properties in "Excellent" condition command significant premiums, often offsetting the effects of property age.

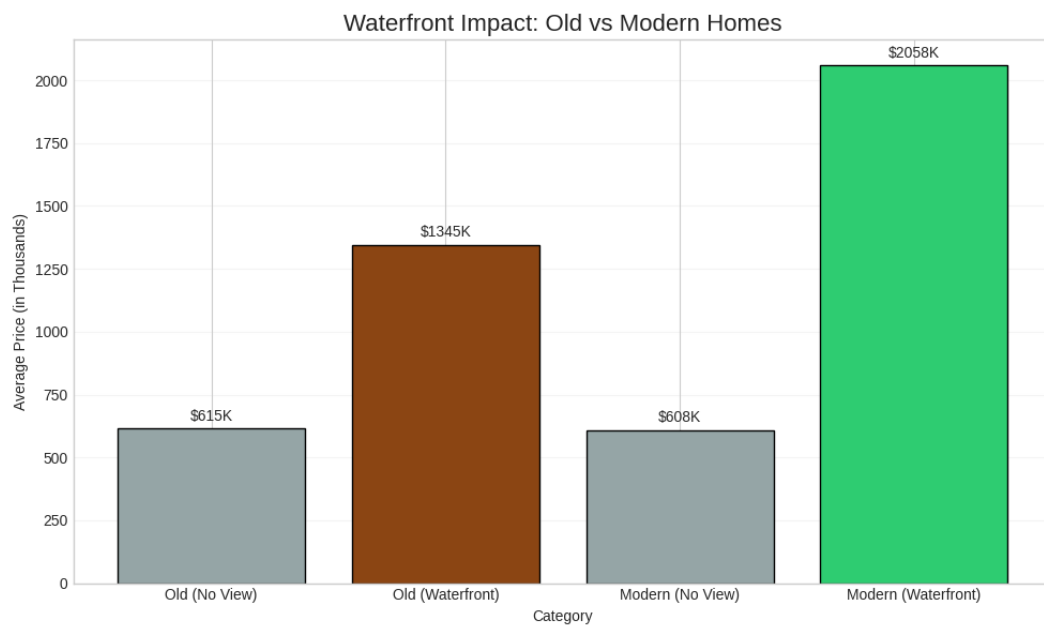


Figure 7: Historic vs. Modern Performance

Strategic Insight: Pre-war historic homes (1900-1930) frequently hold higher average prices than modern builds due to location exclusivity.

5. Actionable Strategic Recommendations

1. Targeted Acquisition: Prioritize waterfront listings in Medina and Bellevue for maximum resale yields.

2. Historic Preservation Strategy: Acquire and modernize 1900-1930 historic gems in Clyde Hill to leverage their unique scarcity.

3. ROI Optimization: Invest in property condition upgrades for waterfront assets, as maintenance status acts as a major price accelerator.

Conclusion

The Washington housing market rewards exclusivity and scarcity (Location & Waterfront) more than sheer construction age. A dual strategy of acquiring modern luxury waterfronts and preserving historic gems in premium cities is recommended for optimal and stable returns.